
Generative AI's Act Two From Technology Hammer

to Real Value

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CONFIDENTIAL

01 Six Decades of Technological Progress Converged to Enable Generative AI

KEY INSIGHT

Three foundational technology waves accumulated over decades to create the conditions for generative AI.



Decades

Moore's Law

Delivered the compute horsepower to process exaflops of data

COMPUTE



Decades

The Internet

Produced trillions of tokens of training data, accelerated by COVID

TRAINING DATA



Decades

Mobile & Cloud

Put a supercomputer in every human's palm

DISTRIBUTION

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet.

KEY INSIGHT

GenAI reached >\$1B in startup revenue in months — a milestone that took SaaS years, not months.

>\$1B

in startup revenue — faster than SaaS ever achieved

**ChatGPT**

Fastest-growing app
in history

Strong product-market fit
among students & developers

GROWTH LEADER**Midjourney**

Hundreds of millions
in revenue

With a team of just
11 people

CAPITAL EFFICIENT**Character.ai****2 hrs**

avg. session time

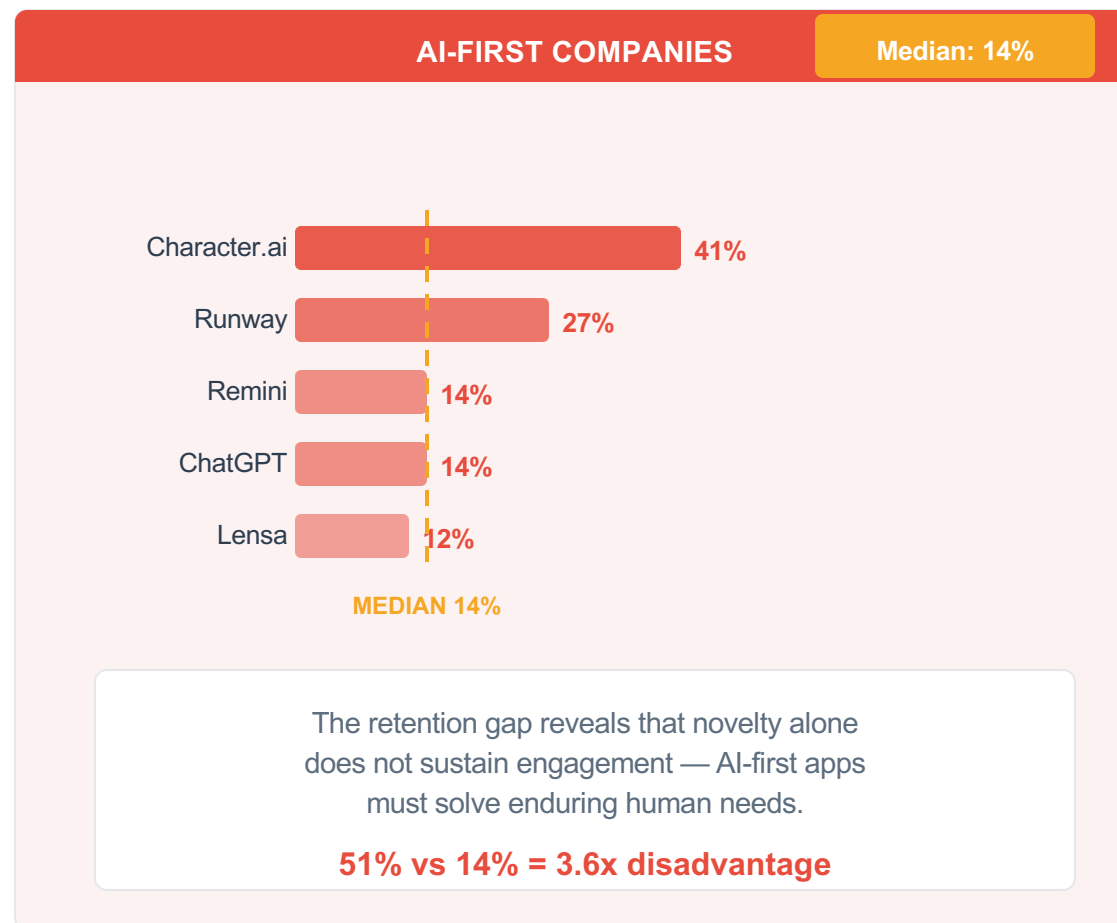
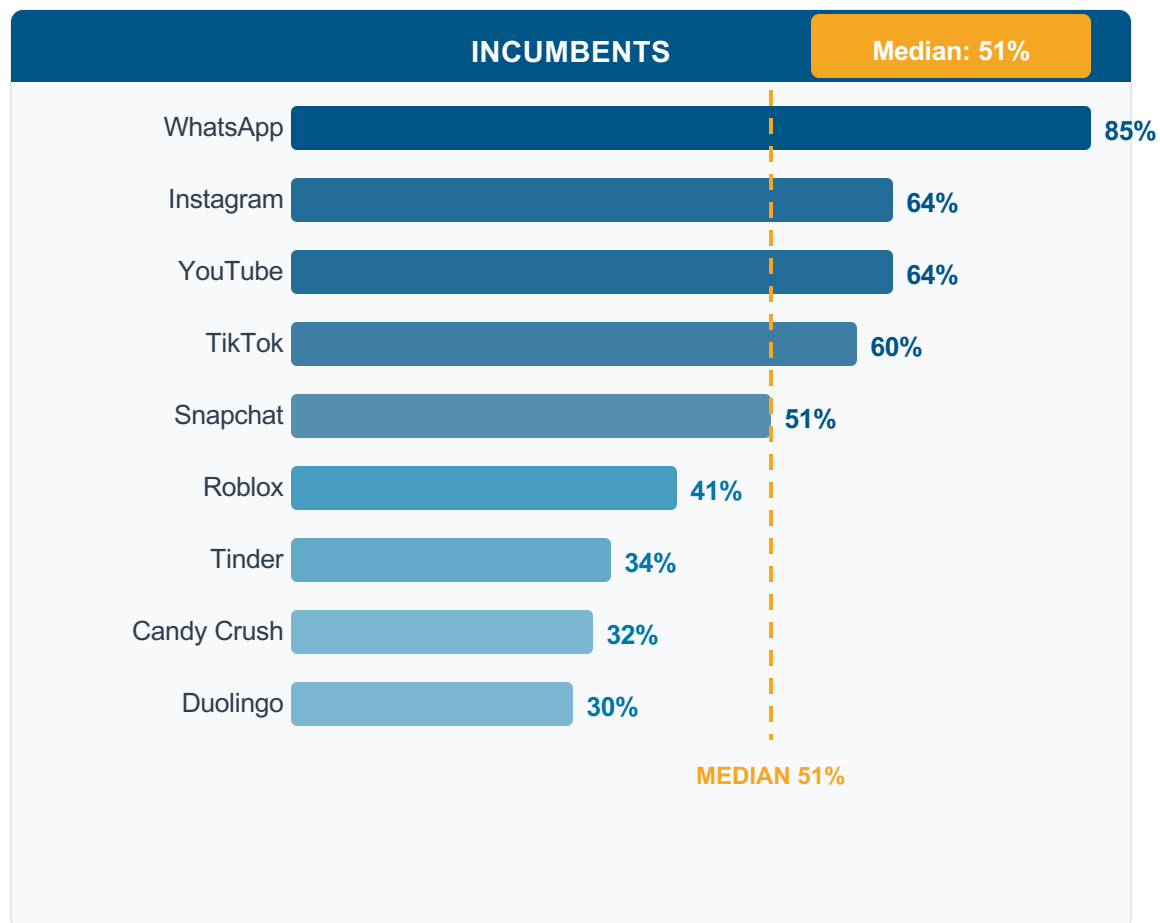
Popularized AI entertainment
and companionship

ENGAGEMENT

Despite these successes, many AI companies lack product-market fit or sustainable competitive advantage.

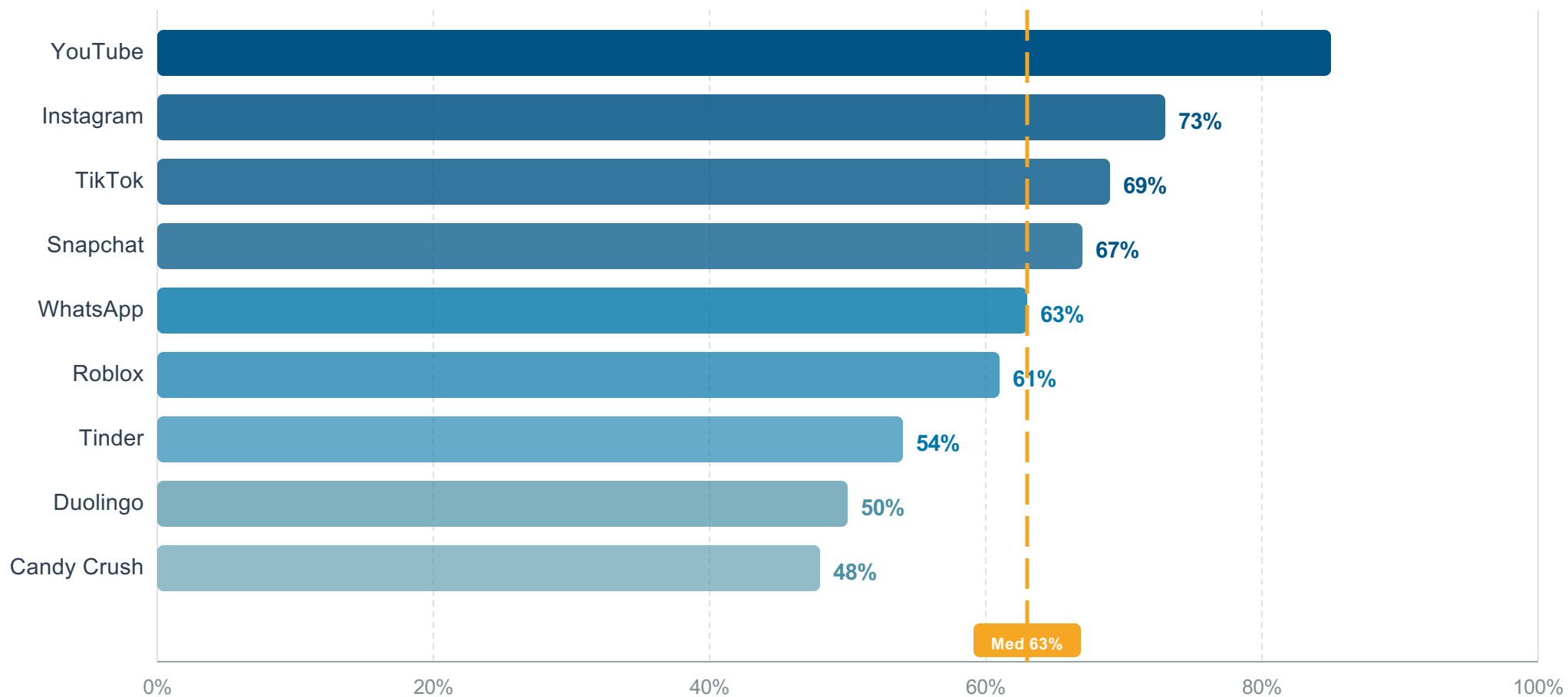
CRITICAL GAP

3.6x retention gap — AI-first apps face a severe stickiness challenge vs. established consumer apps.



KEY INSIGHT

Incumbent usage benchmarks set a demanding standard — AI apps must clear a 63% median to match.



These incumbent benchmarks contextualize the high bar AI apps must clear — engagement and habitual use are the real tests of value creation.

THE TRANSITION

The market is shifting from "what can the model do?" to "what problem does the user need solved?"



ACT 1: Technology-Out

- **Foundation models as the entire solution**
The model IS the product — thin layer on top of APIs
- **Novelty apps & lightweight wrappers**
Cool technology demonstrations lacking substance
- **"AI copilot" everywhere, undifferentiated**
Inboxes filled with "AI Salesforce" and "AI Adobe" pitches
- **Poor user retention**
14% median retention — products fall short of expectations

RESULT: Technology hammer looking for nails
"Is generative AI actually useful?"

14% median retention



ACT 2: Customer-Back

- **Foundation models as a component**
A piece of a comprehensive solution, not the whole product
- **New editing interfaces**
Making workflows stickier and outputs better
- **Multi-modal in nature**
Combining text, image, code in integrated workflows
- **End-to-end problem solving**
Solving human problems completely, not offering thin wrappers

RESULT: Solving real human problems end-to-end
From novelty to necessity

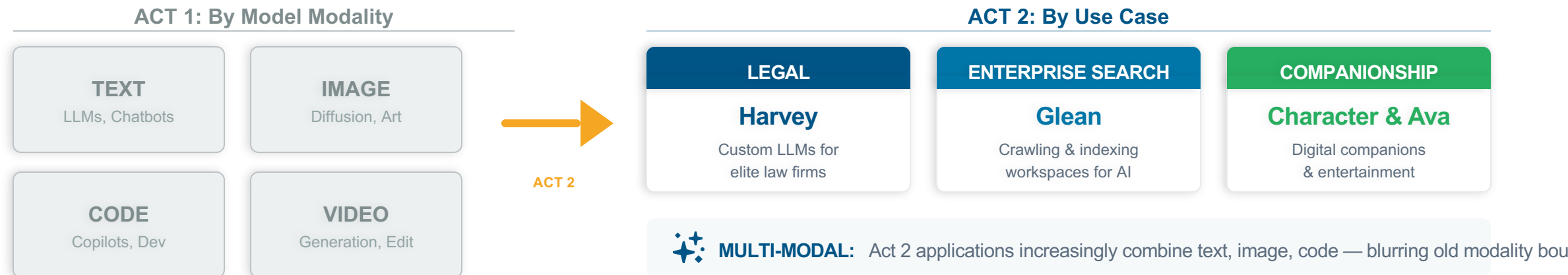
EXEMPLARS:

Harvey (legal) | Glean (enterprise search) | Character & Ava (companionship)



THE SHIFT

Sequoia's market map evolved from model modality to use case — mirroring the Act 1 to Act 2 transition.

**What the Reorganization Reveals****1. Use Case Over Technology**

The market map now reflects what users need, not what models can produce — a fundamental reframing.

2. Cross-Modality Solutions

Real workflows require multi-modal integration — text + image + code working together seamlessly.

3. Customer-Back Winners

Harvey, Glean, Character, and Ava start from user problems, then apply AI as the enabler.

1 Retention is the critical challenge

AI-first apps at 14% median retention vs. 51% for incumbents — a 3.6x disadvantage that signals a fundamental product-market fit gap.

14% vs 51%**2 Foundation models should be a component, not the whole product**

Act 2 solutions are comprehensive — models are a piece, not the entirety. The product is the workflow, not the AI alone.

COMPONENT**3 Multi-modal, workflow-integrated solutions will win**

New editing interfaces create stickiness. Multi-modal integration (text + image + code) reflects how real work gets done.

MULTI-MODAL**4 \$1B+ revenue milestone proves real demand exists**

Despite hype cycles, GenAI's commercial traction is genuine — faster to \$1B than SaaS. The opportunity is real, but winners will be different.

>\$1B**5 Companies solving end-to-end human problems will define Act 2**

The transition from technology-out to customer-back is the defining shift. Harvey, Glean, Character, and Ava point the way forward.

END-TO-END